



FIRST QUARTER 2021

Supplemental Operating and Financial Data

ALL AMOUNTS IN THIS REPORT ARE UNAUDITED.



Table of Contents

CORPORATE INFORMATION

Company Profile.....	3
Investor Information.....	4

FINANCIALS

First Quarter 2021 Highlights.....	5
Condensed Consolidated Balance Sheet.....	6
Condensed Consolidated Statement of Operation.....	7

PORTFOLIO OVERVIEW

First Quarter 2021 Portfolio Summary.....	8
Loan Investment Details.....	9
Loan Portfolio Composition.....	10
Loan Portfolio Credit Quality.....	11
Interest Rate Sensitivity.....	12

WARNING CONCERNING FORWARD-LOOKING STATEMENTS..... [13](#)

NON-GAAP FINANCIAL MEASURES AND CERTAIN DEFINITIONS..... [14](#)

Please refer to Non-GAAP Financial Measures and Certain Definitions for terms used throughout this document.

RMRM
Nasdaq Listed



Company Profile

The Company:

RMR Mortgage Trust, or RMRM, we, our or us, is a real estate finance company that focuses on originating and investing in floating rate first mortgage whole loans secured by middle market and transitional commercial real estate, or CRE. We define middle market CRE as commercial properties that have values up to \$100.0 million and transitional CRE as commercial properties subject to redevelopment or repositioning activities that are expected to increase the value of the properties.

Business Change:

As previously announced on January 5, 2021, the Securities and Exchange Commission, or SEC, issued an order granting our request to deregister as an investment company under the Investment Company Act of 1940. This order enables us to proceed with full implementation of our new business mandate to operate as a commercial mortgage real estate investment trust, or REIT. As a result of the changes to our business, we have not provided a comparison of our financial statements to prior periods in which we were operating as a registered investment company because it would not be useful to our shareholders.

Management:

Our manager, Tremont Realty Advisors LLC, or TRA, or our Manager, is registered with the SEC, as an investment adviser. In addition to RMRM, TRA also provides management services to Tremont Mortgage Trust (Nasdaq: TRMT), a publicly traded mortgage REIT that focuses on originating and investing in floating rate first mortgage whole loans, secured by middle market and transitional CRE. TRA is owned by The RMR Group LLC, or RMR LLC, the majority owned operating subsidiary of The RMR Group Inc., or RMR Inc., a holding company listed on The Nasdaq Stock Market LLC, or Nasdaq, under the symbol “RMR”. We collectively refer to RMR Inc. and its consolidated subsidiaries, including RMR LLC, as RMR. RMR is an alternative asset management company that is focused on commercial real estate and related businesses. RMR primarily provides management services to publicly traded real estate companies, privately held real estate funds and real estate related operating businesses. As of March 31, 2021, RMR had \$31.8 billion of real estate assets under management and the combined RMR managed companies had approximately \$10.0 billion of annual revenues, nearly 2,100 properties and approximately 43,000 employees. We believe our Manager’s relationship with RMR provides us with a depth of market knowledge that may allow us to identify high quality investment opportunities and to evaluate them more thoroughly than many of our competitors, including other commercial mortgage REITs. We also believe RMR’s broad platform provides us with access to RMR’s extensive network of real estate owners, operators, intermediaries, sponsors, financial institutions and other real estate related professionals and businesses with which RMR has historical relationships. We also believe that our Manager provides us with significant experience and expertise in investing in middle market and transitional CRE.

Corporate Headquarters:

Two Newton Place
255 Washington Street, Suite 300
Newton, MA 02458-1634
(617) 332-9530

Stock Exchange Listing:

Nasdaq

Trading Symbol:

Common Shares: RMRM

Key Data (as of and for the three months ended March 31, 2021): (dollars in thousands)

Q1 2021 interest income	\$ 2,001
Q1 2021 net income	\$ 350
Q1 2021 Distributable Earnings	\$ 350
Loans held for investment, net	\$ 147,247
Total assets	\$ 195,067

Investor Information

Board of Trustees

Barbara D. Gilmore
Independent Trustee

John L. Harrington
Independent Trustee

Jeffrey P. Somers
Independent Trustee

Matthew P. Jordan
Managing Trustee

Adam D. Portnoy
Managing Trustee

Executive Officers

Thomas J. Lorenzini
President

G. Douglas Lanois
Chief Financial Officer and Treasurer

Contact Information

Investor Relations

RMR Mortgage Trust
Two Newton Place
255 Washington Street, Suite 300
(617) 796-8253
ir@rmrmortgagetrust.com
www.rmrmortgagetrust.com

Inquiries

Financial, Investor and media inquiries should be directed to:
Kevin Barry, Manager, Investor Relations
at (617) 332-9530 or ir@rmrmortgagetrust.com



First Quarter 2021 Highlights

Financial Results

- Net income and Distributable Earnings of \$0.4 million or \$0.03 per common share.
- Book value per common share of \$18.94.
- Distribution of \$0.15 per common share declared in April 2021 and payable in May 2021.

Loan Portfolio

- 7 first mortgage whole loans diversified among office, multifamily, retail, lab and industrial collateral, with an aggregate total loan commitment of \$177.2 million.
 - Weighted average maturity of 4.3 years based on Maximum Maturities.
 - Weighted average coupon of 4.99% and weighted average All In Yield of 5.65%.
 - All loans are current on debt service.

Capitalization

- Entered into master repurchase facility with UBS AG, or UBS, or our Master Repurchase Facility, which we will use to leverage our financing transactions. The Master Repurchase Facility has a three-year term and no maximum facility amount. We expect advancements under the facility to not exceed our equity, which as of March 31, 2021 was \$193.2 million
- As of March 31, 2021, we had no outstanding balance under our Master Repurchase Facility and, as of April 30, 2021, we had a \$23.2 million aggregate outstanding principal balance under our Master Repurchase Facility.

Interest Rates

- All loans held for investment have floating interest rates and we require borrowers to obtain hedging instruments to mitigate the risk of increasing interest rates. The weighted average LIBOR floor for the portfolio is 0.77%.
- Borrowings under our Master Repurchase Facility are subject to floating interest rates with no LIBOR floor.
- Floating rate investments and floating rate liabilities support earnings stability.

Note: As of March 31, 2021 (unless otherwise noted)

Condensed Consolidated Balance Sheet

(dollars in thousands, except per share data)

	March 31, 2021
ASSETS	
Cash and cash equivalents	\$ 46,839
Restricted cash	220
Loans held for investment, net	147,247
Accrued interest receivable	456
Prepaid expenses and other assets	305
Total assets	<u>\$ 195,067</u>
LIABILITIES AND SHAREHOLDERS' EQUITY	
Accounts payable, accrued liabilities and deposits	\$ 1,121
Due to related persons	702
Total liabilities	<u>1,823</u>
Commitments and contingencies	
Shareholders' equity:	
Common shares of beneficial interest, \$0.001 par value per share; unlimited number of shares authorized; 10,202,009 shares issued and outstanding	10
Additional paid in capital	192,884
Cumulative net income	350
Total shareholders' equity	<u>193,244</u>
Total liabilities and shareholders' equity	<u>\$ 195,067</u>

Condensed Consolidated Statement of Operations

(amounts in thousands, except per share data)

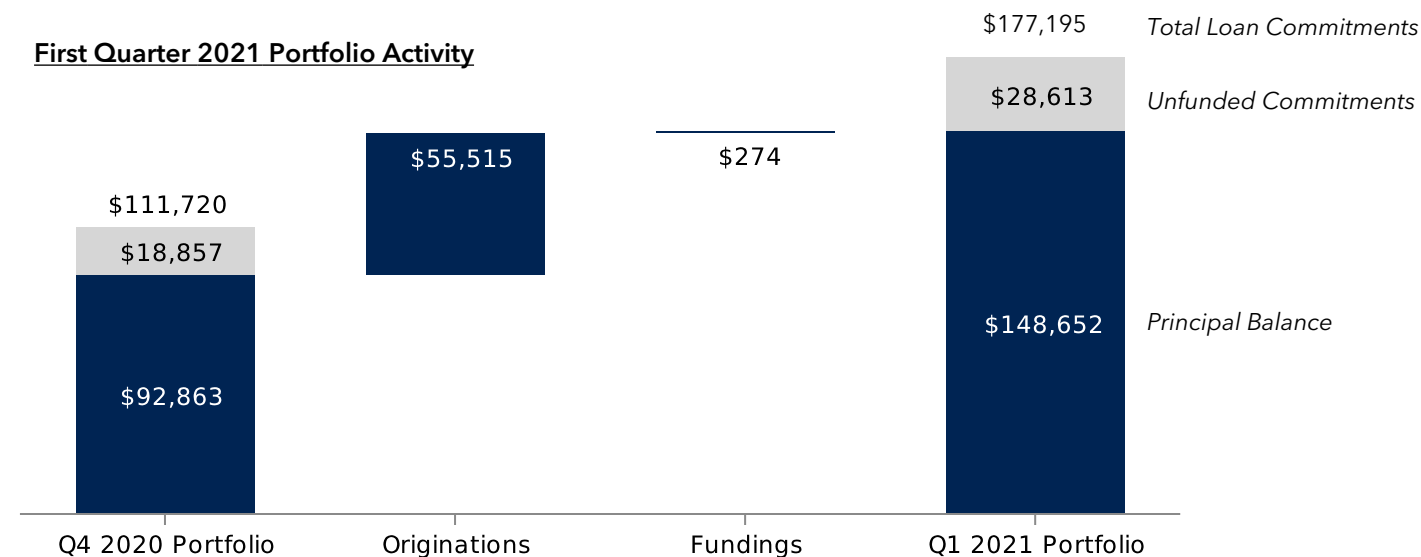
	Three Months Ended March 31, 2021
INCOME FROM INVESTMENTS:	
Interest income from investments	\$ 2,001
OTHER EXPENSES:	
Base management fees	715
General and administrative expenses	592
Reimbursement of shared services expenses	326
Total expenses	1,633
Income before income tax expense	368
Income tax expense	(18)
Net income	\$ 350
Weighted average common shares outstanding	10,202
Net income per common share	\$ 0.03

First Quarter 2021 Portfolio Summary

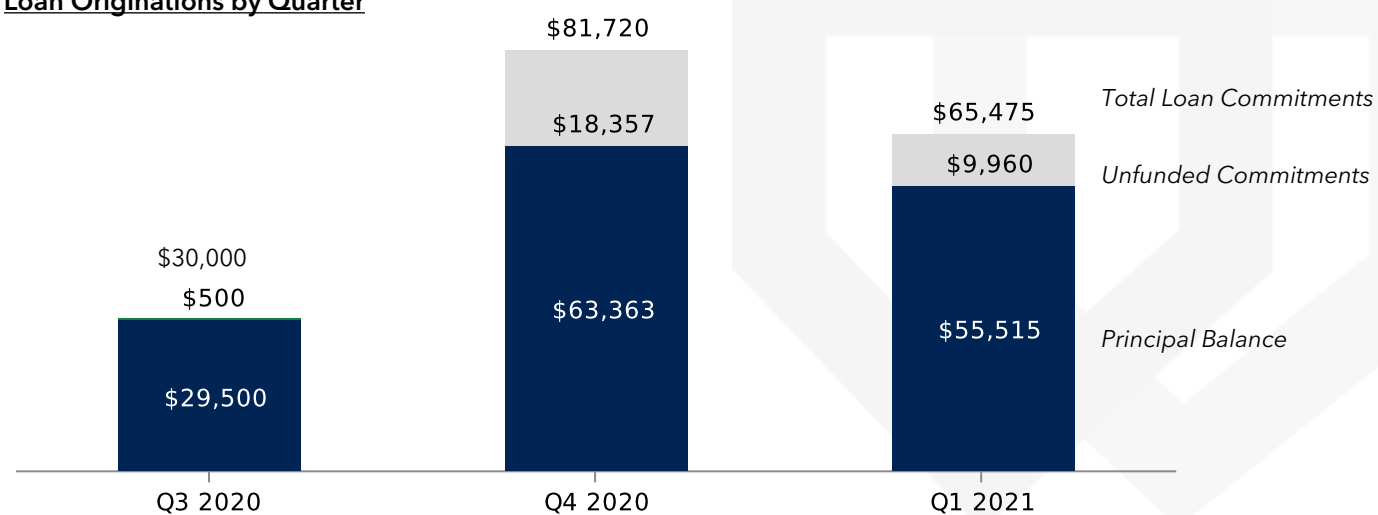
(dollars in thousands)

	First Quarter 2021 Originations	Portfolio Summary as of March 31, 2021
Number of loans	2	7
Average loan commitment	\$32,738	\$25,314
Total loan commitments	\$65,475	\$177,195
Unfunded loan commitments	\$9,960	\$28,613
Principal balance	\$55,515	\$148,652
Weighted average coupon rate	4.10%	4.99%
Weighted average All In Yield	4.81%	5.65%
Weighted average Maximum Maturity	4.7	4.3
Weighted average LTV	64%	67%
Weighted average LIBOR Floor	0.74%	0.77%
Loans with active LIBOR floors	100%	100%
Weighted average risk rating	3.0	3.0

First Quarter 2021 Portfolio Activity



Loan Originations by Quarter



Loan Investment Details

(dollars in thousands)

First Mortgage Whole Loans as of March 31, 2021: ⁽¹⁾

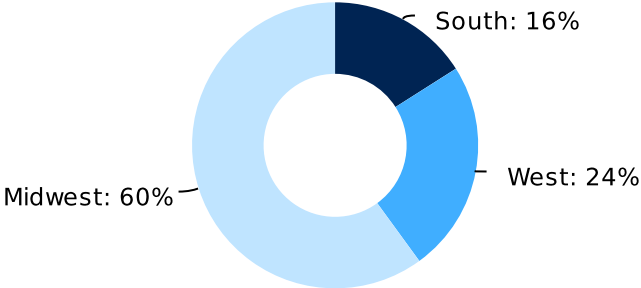
Location	Property Type	Origination Date	Committed Principal Amount	Principal Balance	Coupon Rate	All in Yield	Maturity Date	Maximum Maturity Date	LTV	Risk Rating
Los Angeles, CA	Retail	12/17/2020	\$ 24,600	\$ 17,429	L + 4.25%	L + 5.09%	12/17/2022	12/17/2024	67%	3
Miami, FL	Office	01/19/2021	10,900	10,900	L + 4.50%	L + 5.47%	01/19/2023	01/19/2025	68%	3
Downers Grove, IL	Office	09/25/2020	30,000	29,500	L + 4.25%	L + 4.69%	11/25/2023	11/25/2024	67%	3
Durham, NC	Lab	12/17/2020	21,500	13,500	L + 4.35%	L + 5.20%	12/17/2023	12/17/2025	57%	3
Aurora, IL	Office / Industrial	12/18/2020	16,500	14,710	L + 4.35%	L + 5.04%	12/18/2023	12/18/2024	73%	3
Berkeley, CA	Lab	12/30/2020	19,120	17,998	L + 4.35%	L + 4.85%	12/30/2023	12/30/2025	75%	3
Olmstead Falls, OH	Multifamily	01/28/2021	54,575	44,615	L + 4.00%	L + 4.65%	01/28/2024	01/28/2026	63%	3
Total/weighted average			<u>\$ 177,195</u>	<u>\$ 148,652</u>	<u>L + 4.22%</u>	<u>L + 4.88%</u>			<u>67%</u>	<u>3.0</u>

(1) As of April 30, 2021, all of our borrowers had paid their debt service obligations owed and due to us, and none of the loans included in our investment portfolio were in default.

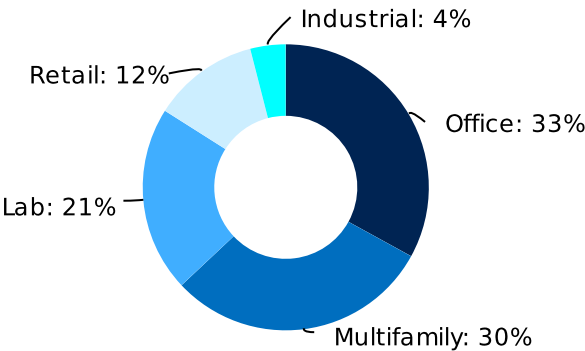
Loan Portfolio Composition

(dollars in thousands)

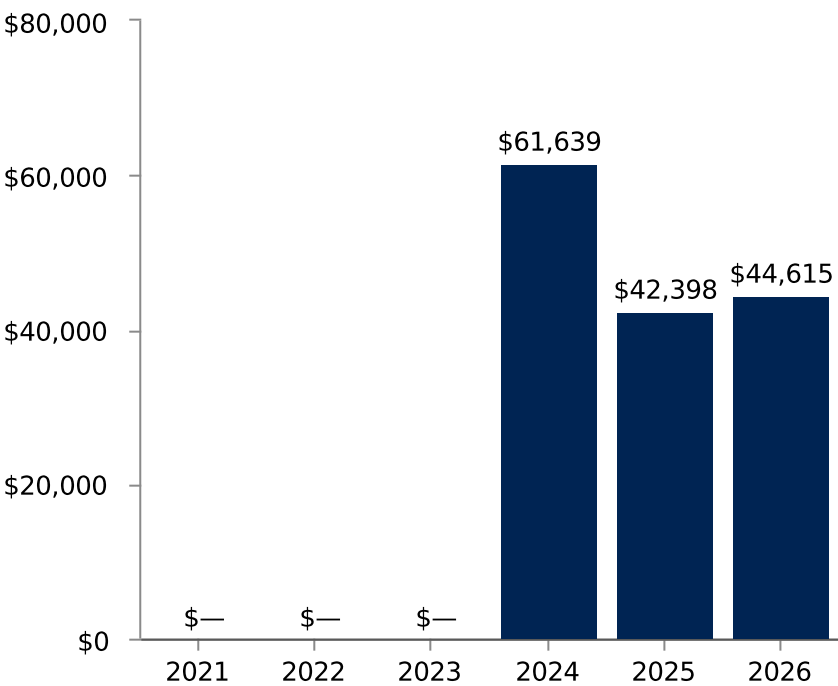
Geographic Region ⁽¹⁾



Property Type ⁽¹⁾



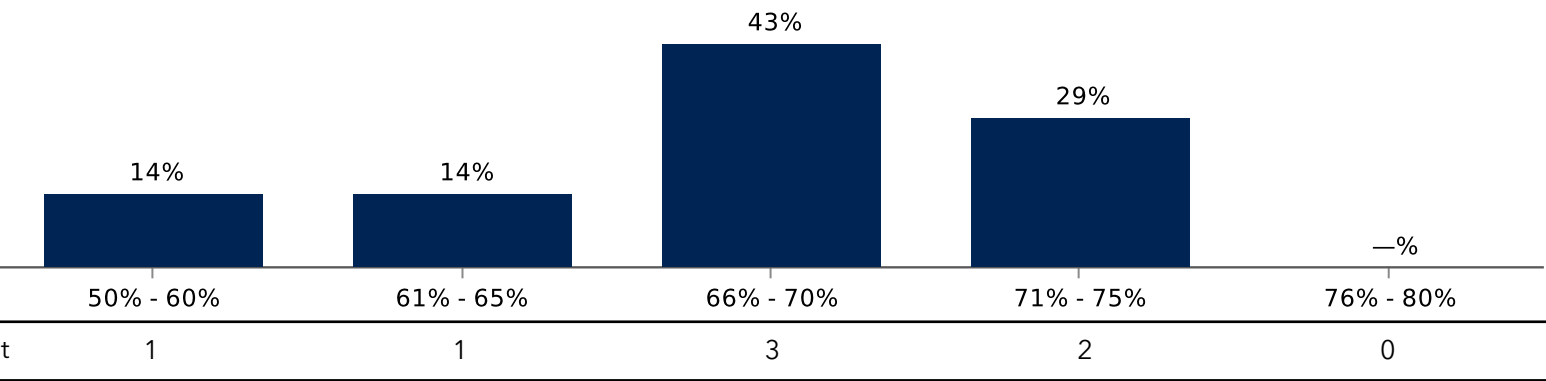
Maximum Maturity Profile ⁽²⁾



(1) Based on book value of loans held for investment as of March 31, 2021.
(2) Based on principal balances as of March 31, 2021.

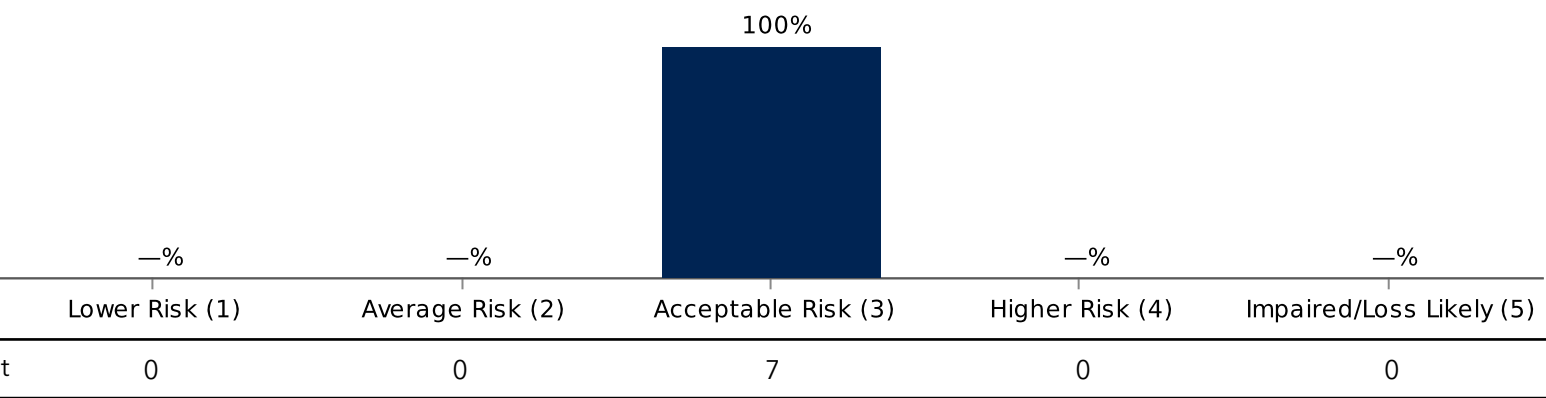
Loan Portfolio Credit Quality

Loan to Value ⁽¹⁾
% of Portfolio



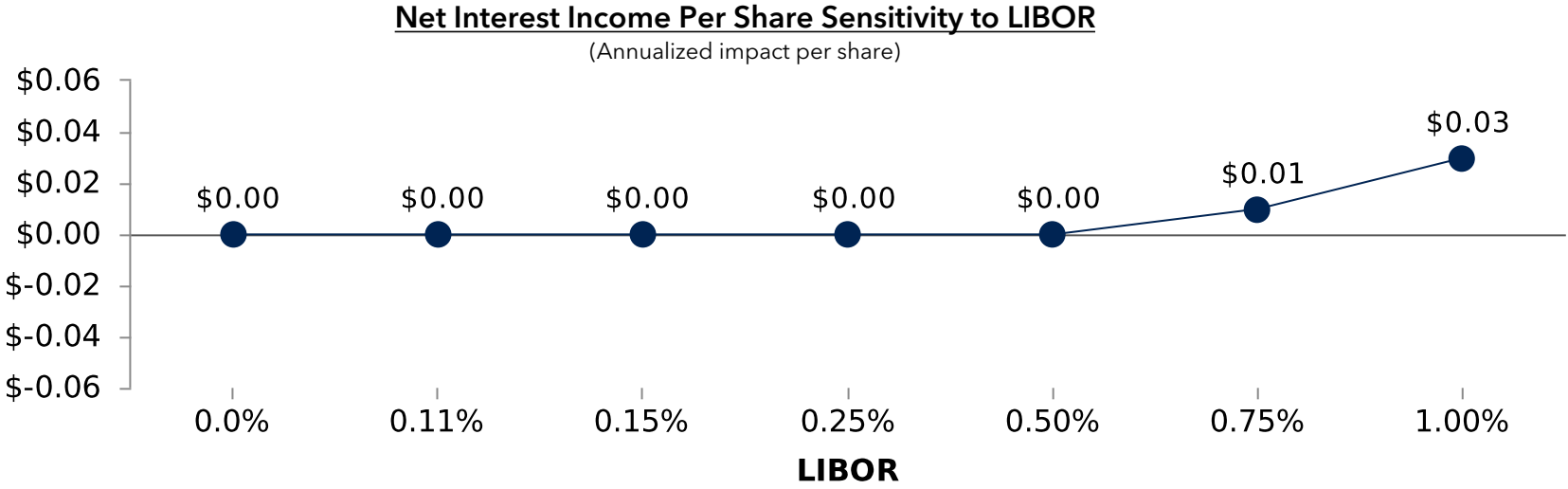
**Weighted Average
LTV: 67%**

Risk Rating Distribution ⁽¹⁾
% of Portfolio



**Weighted Average
Risk Rating: 3.0**

(1) Percentage of portfolio based on book value of loans held for investment as of March 31, 2021.



The interest income on our loans held for investment and the interest expense on our borrowings float with LIBOR subject to applicable LIBOR floor arrangements. We have interest rate floor provisions in our loan agreements with borrowers which set a minimum LIBOR for each loan. These floors range from 0.50% to 1.00% and the portfolio weighted average is 0.77% as of March 31, 2021. As a result, our interest income will increase if LIBOR exceeds the floor established in any of our investments, and if LIBOR further decreases below the floor established in any of our investments, our interest income will not be impacted.

The above table illustrates the incremental impact on our interest income due to increases in LIBOR, taking into consideration our borrowers’ interest rate floors as of March 31, 2021. The results in the table above are based on our loan portfolio and LIBOR of 0.11% at March 31, 2021. As of March 31, 2021, RMRM had no outstanding balance under our Master Repurchase Facility and, as such, this interest rate sensitivity analysis does not consider the effects of interest expense. Any changes to the mix of our investments or debt outstanding could impact the interest rate sensitivity analysis and this illustration is not meant to forecast future results.

LIBOR is currently expected to be phased out for new contracts by December 31, 2021 and for pre-existing contracts by June 30, 2023. Our master repurchase agreement, or the Master Repurchase Agreement, with UBS AG, or UBS, states that at such time as LIBOR shall no longer be made available or used for determining the interest rate of loans, the replacement base rate shall be an alternative benchmark rate (including any mathematical or other adjustments to the benchmark rate (if any) incorporated therein so that the resulting rate approximates LIBOR as close as reasonably possible) as determined by UBS under similar facilities for the financing of similar assets and is consistent with the pricing index of similarly situated counterparties. We also currently expect that, as a result of any phase out of LIBOR, the interest rates under our loan agreements with borrowers would be amended to replace LIBOR for an alternative benchmark rate (which may include the secured overnight borrowing rate, or SOFR, or another rate based on SOFR) that will approximate the existing interest rate as calculated in accordance with LIBOR.

Warning Concerning Forward-Looking Statements

This supplemental operating and financial data may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995 and other securities laws. Also, whenever we use words such as “believe”, “expect”, “anticipate”, “intend”, “plan”, “estimate”, “will”, “may” and negatives or derivatives of these or similar expressions, we are making forward-looking statements. These forward-looking statements are based upon our present intent, beliefs or expectations, but forward-looking statements are not guaranteed to occur and may not occur. Actual results may differ materially from those contained in or implied by our forward-looking statements. Forward-looking statements involve known and unknown risks, uncertainties and other factors, some of which are beyond our control.

The information contained in our filings with the SEC, including under “Summary of Principal Risk Factors” included in our Current Report on Form 8-K filed on March 24, 2021 with the SEC, identifies other important factors that could cause RMRM’s actual results to differ materially from those stated in or implied by RMRM’s forward looking statements. RMRM’s filings with the SEC are available on the SEC’s website at www.sec.gov.



Non-GAAP Financial Measures and Certain Definitions

Non-GAAP Financial Measures:

We present Distributable Earnings, which is considered a “non-GAAP financial measure” within the meaning of the applicable SEC rules. Distributable Earnings does not represent net income or cash generated from operating activities and should not be considered as an alternative to net income determined in accordance with GAAP or an indication of our cash flows from operations determined in accordance with GAAP, a measure of our liquidity or operating performance or an indication of funds available for our cash needs. In addition, our methodology for calculating Distributable Earnings may differ from the methodologies employed by other companies to calculate the same or similar supplemental performance measures; therefore, our reported Distributable Earnings may not be comparable to the distributable earnings as reported by other companies.

We intend to elect to be taxed as a REIT under the internal revenue code of 1986, as amended, effective for our 2020 taxable year. In order to maintain our qualification for taxation as a REIT, we are generally required to distribute substantially all of our taxable income, subject to certain adjustments, to our shareholders. We believe that one of the factors that investors consider important in deciding whether to buy or sell securities of a REIT is its distribution rate. Over time, Distributable Earnings may be a useful indicator of distributions to our shareholders and is a measure that is considered by our Board of Trustees when determining the amount of such distributions. We believe that Distributable Earnings provides meaningful information to consider in addition to net income and cash flows from operating activities determined in accordance with GAAP. This measure helps us to evaluate our performance excluding the effects of certain transactions, the variability of any incentive fees that may be paid or payable and GAAP adjustments that we believe are not necessarily indicative of our current loan portfolio and operations. In addition, Distributable Earnings is used in determining the amount of base management and management incentive fees payable by us to our Manager under our management agreement.

Distributable Earnings:

We calculate Distributable Earnings as net income, computed in accordance with GAAP, including realized losses not otherwise included in net income determined in accordance with GAAP, and excluding: (a) the management incentive fees earned by our Manager, if any; (b) depreciation and amortization, if any; (c) non-cash equity compensation expense; (d) unrealized gains, losses and other similar non-cash items that are included in net income for the period of the calculation (regardless of whether such items are included in or deducted from net income or in other comprehensive income under GAAP), if any; and (e) one-time events pursuant to changes in GAAP and certain non-cash items, if any. Distributable Earnings are reduced for realized losses on loan investments when amounts are deemed uncollectable. For the three months ended March 31, 2021, Distributable Earnings was equal to net income, and therefore there were no adjustments.

Other Measures:

All In Yield:

All In Yield represents the yield on a loan, excluding any repurchase debt funding applicable to the loan and including amortization of deferred fees over the initial term of the loan.

Maximum Maturity:

Maximum Maturity assumes all loan extension options are exercised, which options are subject to the borrower meeting certain conditions.

LTV:

Loan to value ratio, or LTV, represents the initial loan amount divided by the underwritten in-place value of the underlying collateral at closing.